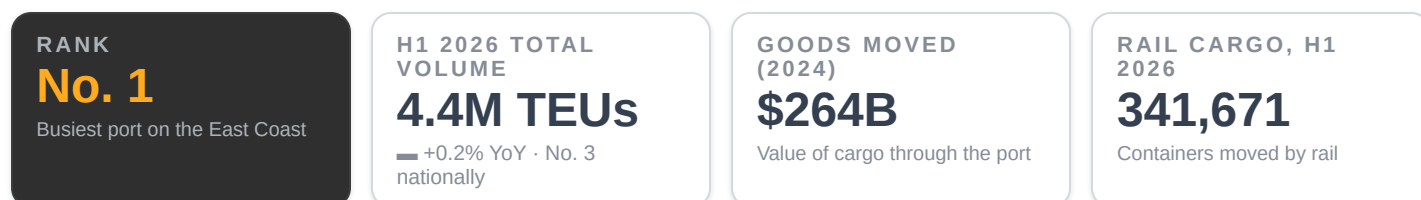


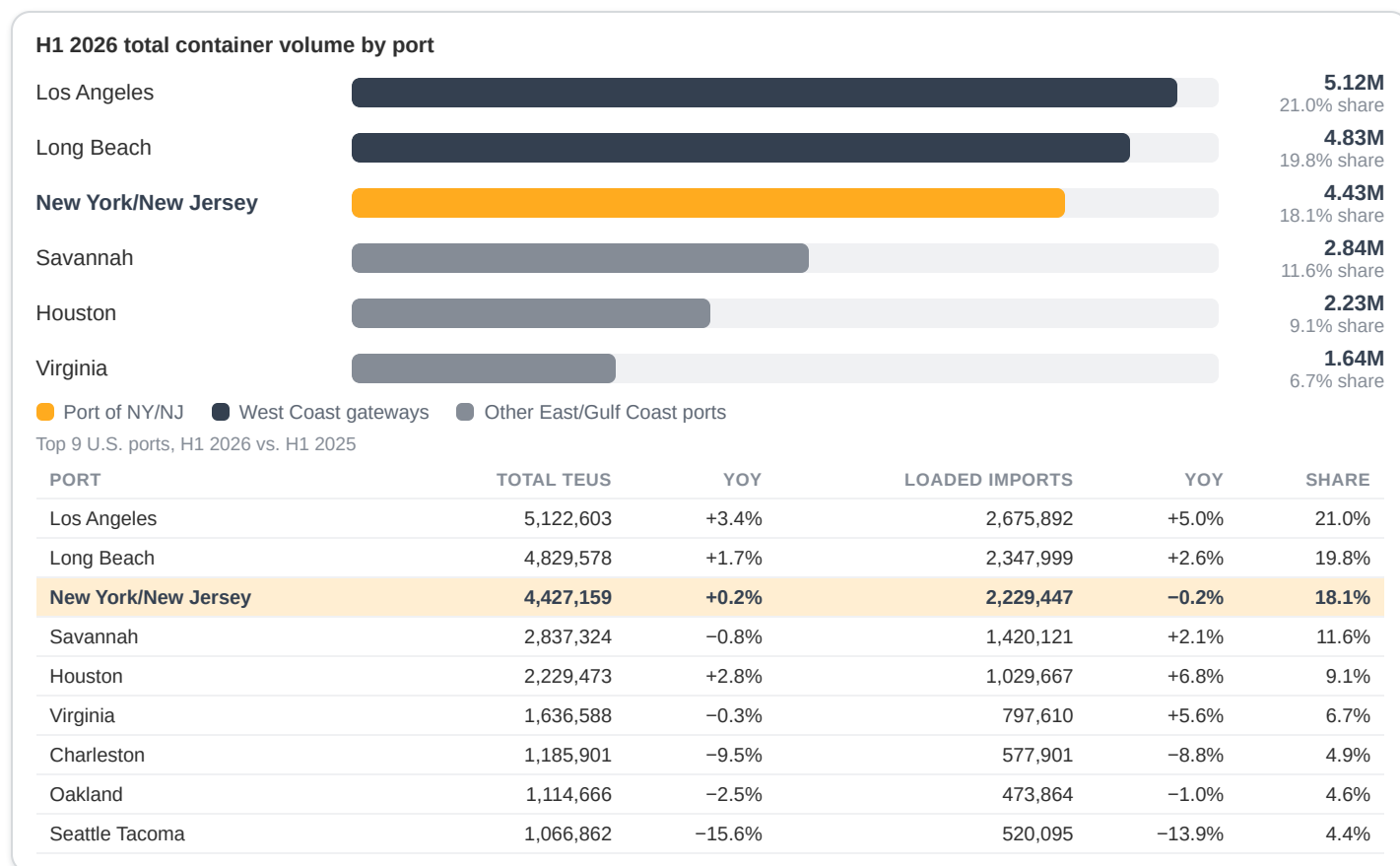
Port of NY/NJ | Why it anchors the Shallow Bay thesis

H1 2026 volume confirms the port's scale as the East Coast's leading gateway — the demand engine behind Faropoint's infill, shallow-bay industrial strategy in Northern New Jersey. Source: Cushman & Wakefield, *H1 2026 Port of New York & New Jersey Report*.



A top-3 gateway, gaining loaded import share

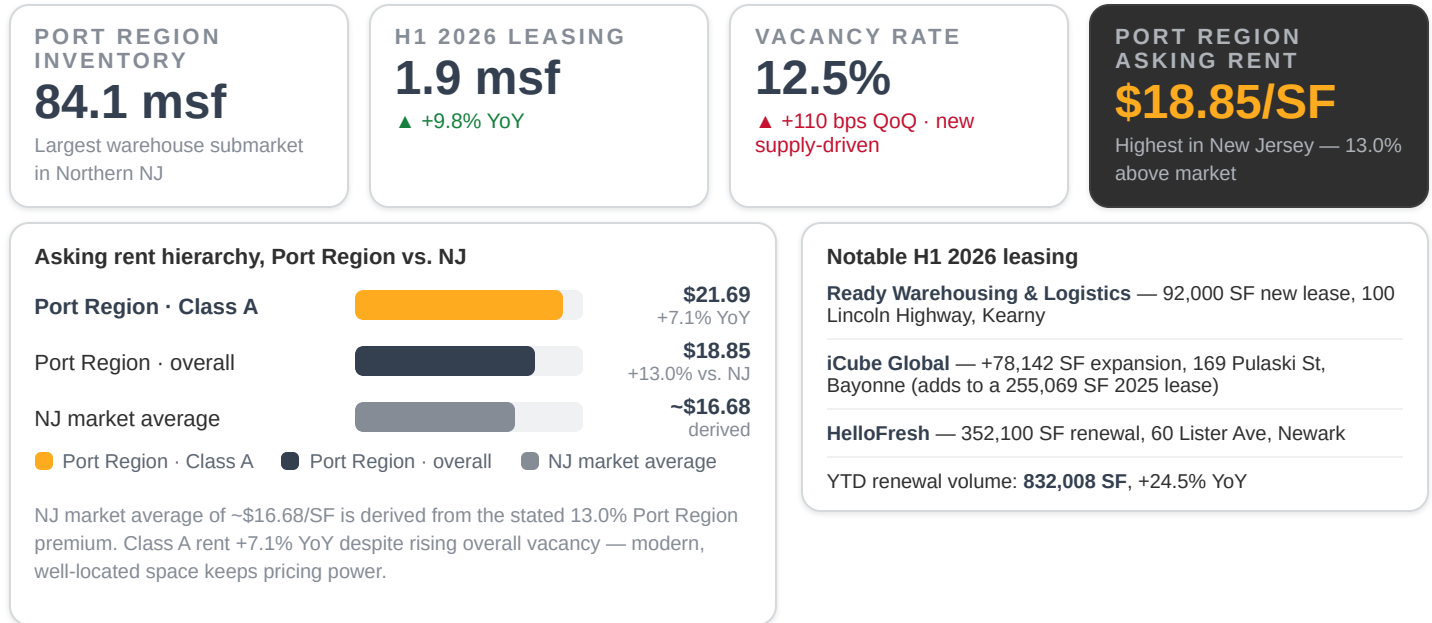
Port of NY/NJ is 1 of only 3 U.S. ports to post more than 2.0M TEUs of loaded import cargo in H1 2026 — and holds 18.1% of top-nine-port volume.



Diverse, durable trade base. The port serves more than 60 million consumers within a 250-mile radius — roughly one-third of U.S. GDP — via a diversified partner base (China, India, Italy, Germany, France) that mitigates any single-lane disruption. The Port Authority is investing to sustain this scale: a U.S. Army Corps of Engineers agreement to evaluate deepening channels to 55 feet, plus a redevelopment of the Newark-Elizabeth complex's northern entrance.

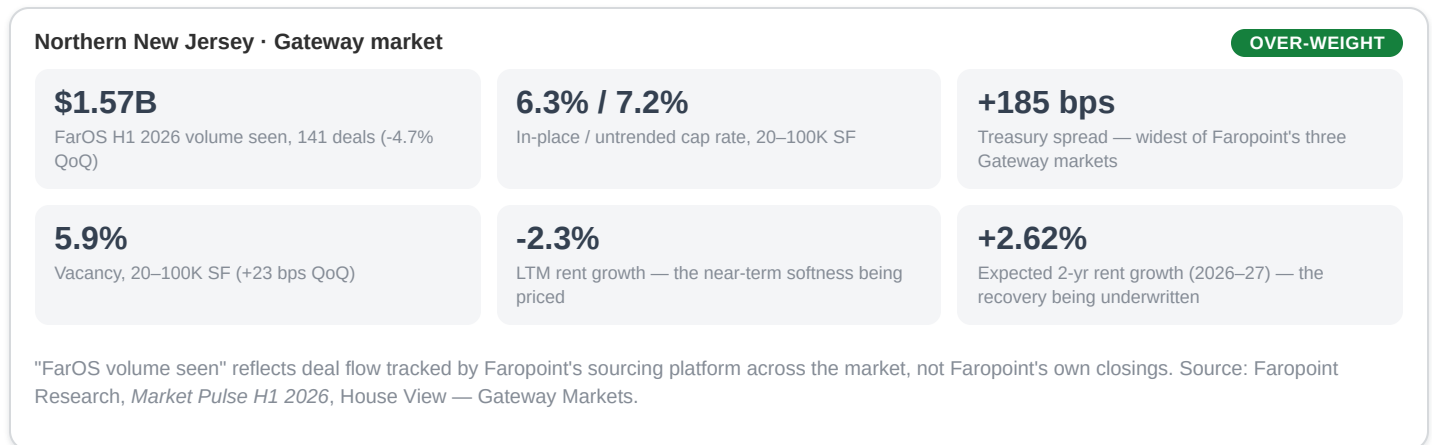
Port Region | Where port volume becomes real estate demand

The Port Region is the largest industrial submarket in Northern New Jersey — and the clearest illustration of why infill, shallow-bay space commands a premium closest to the port.



The house view: Northern New Jersey

Faropoint's research team rates Northern New Jersey **Over-weight** among Gateway markets — near-term rent softness more than compensated by the widest Treasury spread in the set.



Beyond the Port Region | Faropoint's Northeast house view

Northern New Jersey and Philadelphia are Faropoint's two most active Northeast/Mid-Atlantic markets — one rated Over-weight, one Under-weight, for very different reasons.

Gateway vs. Value: two markets, two theses

Northern New Jersey (Gateway) is Over-weight on pricing despite softer rents. Philadelphia (Value) is Under-weight despite the stronger rent print — its leasing spreads compressed sharply as outsized COVID-era gains normalize.

Faropoint House View — Northeast & Mid-Atlantic markets, H1 2026 (20–100K SF)

MARKET	FAROS DEALS	FAROS VOLUME	IN-PLACE CR	UNTRENDED CR	TSY SPREAD	VACANCY	LTM RENT GR.	EXP. 2-YR GR.	HOUSE VIEW
Northern New Jersey	141	\$1,573M	6.3%	7.2%	+185 bps	5.9%	–2.3%	+2.62%	Over-weight
Philadelphia	90	\$721M	6.2%	7.4%	+182 bps	4.6%	+7.8%	+2.88%	Under-weight

Gateway classification (New Jersey) reflects high-density coastal hubs with major port/airport/rail infrastructure and supply-constrained inventory; Value classification (Philadelphia) reflects an established logistics center with a mature base and affordable positioning relative to coastal markets. Source: Faropoint Research, *Market Pulse H1 2026*, House View — Gateway & Value Markets.

Why both markets still pencil: the urban logistics yield premium

FarOS pricing shows shallow-bay consistently transacting at a wider yield than big-box, in both markets above.

Cap rates by asset size, H1 2026

Urban logistics · untrended		7.1%
		20–100K SF
Urban logistics · in-place		6.0%
		20–100K SF
Big box · in-place		5.3%
		200K+ SF

Urban logistics (20–100K SF) carries in-place yields of 6.0% and untrended yields of 7.1% — about 70 bps above big-box (200K+) in-place yields of 5.3%. Source: Faropoint Research, *Market Pulse H1 2026* (FarOS pipeline, price-weighted trailing averages).

Faropoint's New Jersey acquisition footprint, 2026 YTD

TOTAL DEPLOYED \$65.5M	TRANSACTIONS 5	BUILDINGS ACQUIRED 5	AVG. DEAL SIZE \$13.1M	AVG. BUILDING SIZE ~60,000 SF
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No. 1 buyer in the market by deal count. Across 51 tracked NJ industrial, land and IOS transactions in 2026 YTD, Faropoint led every buyer — disclosed or confidential — with 5 deals (9.8% of all deals; 19.2% of the 26 industrial-sale-only transactions). By dollar volume Faropoint ranks #11 (\$65.5M, 3.2% share), well behind one-off trophy deals like Goodman's \$360.0M Anheuser-Busch land acquisition — consistent with a high-frequency, smaller-check acquisition strategy rather than one built around headline-volume deals.

NJ industrial only — Fund-level and other Mid-Atlantic totals unavailable this session.

The Shallow Bay thesis | Six structural drivers, not one

Port proximity is one input, not the whole case. The format's durability comes from land economics, tenancy structure and ownership fragmentation that hold regardless of any single trade cycle.

1 Last-mile, not just port-adjacent

Final-mile parcel and distribution demand is driven by dense population and same-day delivery expectations — a driver independent of ocean-freight cycles.

2 Land that can't be replaced

Under-construction inventory is ~4x higher in big box (2.6% of stock) than last-mile (0.6%) — zoning and land cost structurally cap new shallow-bay supply (Faropoint Research).

3 Granular, diversified tenancy

Dozens of small, service-oriented tenants per roll — trades, light manufacturing, distribution — spread credit and re-tenanting risk versus one large user.

4 Rents mark to market faster

Shorter average lease terms and below-market in-place rents let owners reprice more often than in single-tenant bulk assets.

5 Fragmented ownership, our entry point

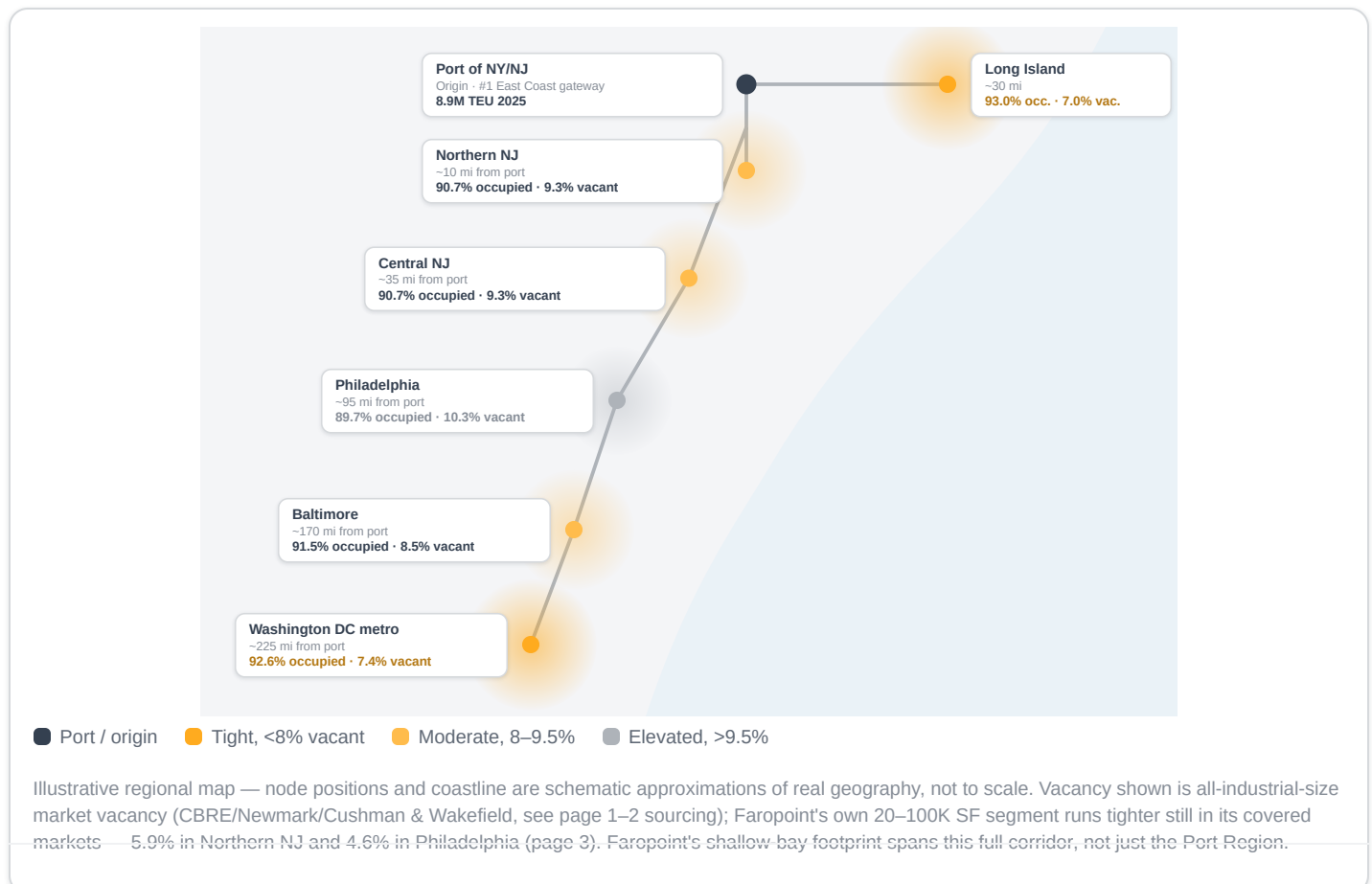
79% of the 20–100K SF universe (\$1.1T sector, avg. asset value \$5M) is privately owned — a durable, largely un-institutionalized acquisition pipeline (Faropoint Research).

6 Demand from more than one source

Population growth, reshoring of light manufacturing and local service businesses all draw on the same infill space — insulating it from any single macro shock.

The corridor, mapped: how port flow reaches each market

Positioned by approximate real geography, Long Island through Washington DC. The heat glow behind each market is its vacancy tier — hotter reads tighter. Geography and tightness don't move together: Long Island and DC, at opposite ends of the map, are the two hottest markets.



Sources: Cushman & Wakefield *H1 2026 Port of New York & New Jersey Report*; CBRE / Cushman & Wakefield national small-bay research; Faropoint internal thesis framework.